

Underwriters and Wholesalers of United States Federal Debt, 1775–1940 (and After): Who Marketed the Government’s Bonds, and How Much Went to Europe

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Abstract

This memorandum surveys the institutions and individuals who acted as *underwriters*, *wholesalers*, or *marketers* of initial offerings of United States federal debt from the Revolution through 1940, and it assembles what is known about the fraction of that debt placed or held in Europe. The story divides into five regimes. (1) In the Revolution and Confederation (1775–1790), thirteen state loan offices, the Continental loan office, Robert Morris and his Bank of North America, and—decisively for hard money—the French crown and a consortium of Amsterdam bankers (Willink; Van Staphorst; De la Lande & Fynje) placed the debt. (2) From 1790 to 1836 the two Banks of the United States served as fiscal agents while Dutch and then British investors absorbed a remarkable share of the funded debt—a share that peaked near 53–56 percent in 1803, the year of the Louisiana Purchase. (3) From the demise of the Second Bank (1836) to the Civil War, private houses—above all Corcoran & Riggs, with London houses such as Baring Brothers as a secondary outlet—wholesaled the government’s loans. (4) Jay Cooke & Co. pioneered mass retail distribution of the Civil War debt (1862–1865); after Cooke’s failure in the Panic of 1873, leadership passed to Drexel, Morgan & Co. and its London parent J. S. Morgan & Co., which dominated the refunding syndicates of the 1870s and the gold-reserve rescue of 1895. (5) The First World War reversed the historic pattern: the Liberty Loans were sold directly to tens of millions of American citizens through the Federal Reserve Banks, while J. P. Morgan & Co. acted as purchasing agent for Britain and France and organized the 1915 Anglo-French loan—America had become the world’s creditor. We close with a consolidated table of the European-held fraction of the federal debt across a century and a half.

*Background memorandum prepared with Claude. Quantitative claims marked “verified” in the text were checked against the primary and near-primary sources flagged [PRIMARY] in the accompanying `bond_underwriters.bib`; page numbers for several standard monographs were not confirmed against the physical volumes and are flagged for checking before print.

1 Introduction

A government that borrows must find someone to place its paper. Over the century and a half between the Revolution and the Second World War the United States relied on a changing cast of intermediaries: colonial-style loan offices, a national bank acting as fiscal agent, foreign sovereigns and foreign bankers, private “wholesalers” who bought whole loans at a discount and retailed them onward, syndicates of investment bankers, and—finally—the Federal Reserve System selling directly to the public. This memorandum identifies those intermediaries regime by regime and, wherever the record allows, states the fraction of each era’s debt that came to rest in Europe.

Two questions organize the account. *Who underwrote or wholesaled the initial offerings?* And *what share was sold or held abroad?* The two are connected: for most of the nineteenth century the United States was a capital-importing, “emerging” economy whose government could not have funded its wars and its debt conversions without European savings, and the intermediaries who mattered most were precisely those—the Amsterdam houses, Baring Brothers, the Rothschilds through August Belmont, J. S. Morgan & Co. in London—with a foot on both sides of the Atlantic.

2 The Revolution and the Confederation, 1775–1790

2.1 State and Continental loan offices

Congress had no power to tax. It financed the Revolution first by emitting Continental currency (the “Continental”), then, as that currency depreciated toward worthlessness, by *borrowing*. In 1776 Congress established a *Continental loan office* in each state, staffed by a Continental loan officer, to sell “loan-office certificates”—interest-bearing IOUs of the Confederation—to citizens (Ferguson, 1961). The state loan offices were the retail distribution network of the Revolution: they were the counters at which patriotic (and speculative) citizens exchanged depreciating money for the promise of future interest, and they doubled as the registers of the domestic debt. Alongside the Continental certificates, the individual states issued their own revolutionary debts, which Hamilton would later propose the federal government assume.

2.2 Robert Morris and the Bank of North America

The near-collapse of Continental finance in 1780–1781 produced the Confederation’s one experiment in centralized fiscal management. Robert Morris, appointed Superintendent of Finance in 1781, secured the incorporation of the *Bank of North America*—approved by Congress on 26 May 1781, chartered by ordinance of 31 December 1781, and opened in Philadelphia on 7 January 1782—the first commercial bank in the United States, with a capital of \$400,000 in 1,000 shares of \$400 (Rappleye, 2010). Tellingly, most of that capital came not from private subscribers but from the government itself: Morris subscribed the specie proceeds of the French and Dutch loans, so that “the proceeds of a foreign loan . . . did become the source of most of [the Bank’s] capital” (Sylla, 2011, 9). The Bank lent to the government, gave its short-term paper (“Morris notes”) currency, and steadied public

finance; it was in that narrow sense the first institution to “wholesale” the credit of the Union, though its resources were small and its life as a national fiscal agent brief (Ferguson, 1961). Morris leaned on private brokers—most famously Haym Salomon, broker to the Office of Finance, who sold bills of exchange on France and Holland and placed government securities to convert the foreign subsidies into usable funds.

2.3 The French, Spanish, and Dutch loans

The hard money that actually paid for the Revolution came from Europe. The whole amount received from France during the war, in loans and subsidies together, was 45 million livres, about \$8.17 million—of which roughly 34 million livres were repayable *loans* (the royal advances consolidated in the contract of 16 July 1782 at 5 percent, a French-guaranteed Holland loan of 10 million livres signed by Vergennes and Franklin at 4 percent, and a 6 million-livre loan of 1781) and 11 million livres were outright *gifts* (a French subsidy of 10 million plus a Spanish subsidy of 1 million) (Bayley, 1882, 299–308). The very first Continental loan, in 1777, came from the *Farmers-General* of France—a 1 million-livre advance against 5,000 hogsheads of tobacco, arranged by Franklin and Deane—while Beaumarchais’s front company *Roderigue, Hortalez & Co.* was the covert conduit for early aid (Bayley, 1882, 304–305). Spain, petitioned by John Jay for a \$5 million loan, gave almost nothing beyond the subsidy: the Spanish debt principal was just \$174,011 (Bayley, 1882, 306).

As independence approached, the decisive *new* source was Amsterdam. Beginning with John Adams’s breakthrough loan of 1782, the United States borrowed in the Dutch capital market through a consortium of three houses acting together—*Wilhem & Jan Willink, Nicolaas & Jacob Van Staphorst*, and *De la Lande & Fynje* (van Winter, 1977; Riley, 1980). That first loan was for 5,000,000 guilders (\$2 million), to run ten years at 5 percent, its contract concluded 11 June 1782 and confirmed by Congress that September; it sold only gradually, the full five million not taken up until 1786 (Bayley, 1882, 311). Adams contracted four such loans (1782, 1784, 1787, 1788) totaling 9 million guilders; in all, *eleven* United States loans were floated in Amsterdam between 1782 and 1794 for roughly 29–30 million guilders, and the consortium served as “the financial agents of the United States in Holland” for some forty years (Bayley, 1882, 311–317). The houses’ all-in charges commonly ran about $4\frac{1}{2}$ percent, though they reached roughly 8 percent on the 1787 loan (Bayley, 1882, 311–317); on their own account they also speculated heavily in the deeply discounted domestic debt in anticipation of its funding (Sylla et al., 2006).

At the launch of the new government, Hamilton’s First Report on Public Credit (January 1790) reckoned the foreign-currency debt—owed chiefly to France and to the Dutch bankers—at \$11,710,378, of a federal debt of \$54,124,464; that foreign-origin debt was thus about a fifth (22 percent) of the federal debt, or nearer a seventh once the roughly \$25 million of state debts Hamilton proposed to assume are added to the base (Sylla, 2011, 12). This “foreign-origin” debt should not be confused with foreign *ownership* of the funded debt, which was a different and, as we shall see, much larger magnitude by 1803.

3 The Amsterdam Flotations in Detail, 1782–1794

Because the Amsterdam loans were the mechanism by which the young republic first established, and then defended, its credit, they repay a closer look. Rafael Bayley’s Treasury monograph records eleven United States loans floated in Amsterdam between 1782 and 1794, all through the same consortium—Willink; Van Staphorst (from 1790 styled Van Staphorst & Hubbard); and, until its failure in 1787, De la Lande & Fynje. Table 1 sets them out loan by loan, converting guilders to dollars at Bayley’s constant rate of 2.5 florins to the dollar (Bayley, 1882, 310–321).

The sequence has a clear internal logic. The first four loans (1782–1788), contracted by John Adams—and, for the last, jointly with Jefferson at The Hague—were the Confederation’s lifeline, totaling 9,000,000 guilders (\$3.6 million). They sold slowly and dearly: the pioneering loan of 1782 took four years to place, the 1784 loan had to be dressed up as a part-lottery to attract subscribers, and by the 1787 loan—floated merely to pay the interest falling due on its predecessors, with De la Lande & Fynje now bankrupt and out of the syndicate—the houses’ all-in charge had risen to about 8 percent (Bayley, 1882, 310–316). The contrast after 1790 is striking. Once Hamilton’s funding system had restored the government’s credit, William Short could drive the bankers’ commissions down toward 4 percent and place paper with an ease unimaginable a decade earlier: the loan of February 1791 was “taken up within two hours of publication—a celerity of which there had been no instance before” (Bayley, 1882, 317–318). The seven new-government loans (1790–1794) raised 23,500,000 guilders (\$9.4 million), the proceeds going to buy up the domestic debt under the sinking fund, to pay off Spain and the foreign-officer debt, and—loan by loan—to service and retire the earlier French and Dutch obligations themselves. A parallel Antwerp loan of November 1791 (3 million Brabant florins at $4\frac{1}{2}$ percent, through C. J. M. De Wolf & Co.) was remitted directly to Paris to meet installments on the French debt; Bayley excludes it from the Holland total (Bayley, 1882, 318–321).

How many loans, and how much in all? The answer depends on how one treats the loan of 1793, which Bayley himself labels a “reloan or continuation” rather than fresh borrowing—money raised only to meet the first installment coming due on the original 1782 loan. Counting it, there were eleven loans; Bayley’s round total is \$13 million (32.5 million guilders), though his own itemized principals actually sum to about 34.5 million guilders, so the round figure is best read as an editorial approximation. Excluding the 1793 refinancing, the “new-money” total falls to roughly 29.5 million guilders—which is why the standard scholarly source (van Winter, 1977) gives about 29 million and the Amsterdam exchange historians about 30.5 million. The apparent conflict among “29,” “30.5,” and “32.5 million guilders” thus dissolves once the 1793 continuation is identified (Bayley, 1882, 310–321).

Table 1: United States loans floated in Amsterdam, 1782–1794 (guilders converted at 2.5 f. = \$1)

Contract	Florins	Dollars	Coupon	Charge	By	Purpose / note
11 Jun 1782	5,000,000	2,000,000	5%	4.5%	Adams	First U.S. loan in Holland; placed only by 1786
9 Mar 1784	2,000,000	800,000	4%*	4.5%	Adams	Part-lottery; effective ~5%
18 May 1787	1,000,000	400,000	5%	~8%	Adams	Pays interest then due; De la Lande & Fynje fails, exits
1788	1,000,000	400,000	5%	—	Adams	Bridges the 1788–90 interregnum (with Jefferson)
<i>Confederation subtotal (Adams)</i>						9,000,000 f. = \$3.6 M
12 Nov 1790	3,000,000	1,200,000	5%	4.5%	Hamilton	First loan of the new government
15 Feb 1791	2,500,000	1,000,000	5%	4%	Short	“Taken up within two hours”
Sep 1791	6,000,000	2,400,000	5%	4%	Short	Cap lifted to seize a good market
Dec 1791	3,000,000	1,200,000	4%	5.5%	Short	Lower coupon, higher commission
21 Mar 1792	2,950,000	1,180,000	4%	5%+	Short	Closed short of 3 million
1793	5,000,000	2,000,000	5%	3.5%	bankers	<i>Reloan</i> to meet the 1782 installment
10 Apr 1794	3,000,000	1,200,000	5%	4%	Willink/V.S.	“Closes the account of the Holland loans”
<i>New-government subtotal (Hamilton/Short)</i>						23,500,000 f. = \$9.4 M

Source: Bayley (1882, 310–321). *Nominal 4% plus lottery premiums, which Bayley reckons at an effective ~5%. Bayley’s stated grand total is 32,500,000 f. (\$13 million), of which 9,000,000 f. were Confederation loans and 23,500,000 f. loans of the present government.

4 Funding, Assumption, and the Bank of the United States, 1790–1811

4.1 Hamilton’s funding and the First Bank as fiscal agent

Hamilton’s Funding Act of 1790 refunded the Confederation’s domestic and assumed state debts into three new classes of federal stock (the “sixes,” the “deferred sixes,” and the “threes”), while the foreign debt was serviced and progressively refinanced through new Amsterdam loans. The principal domestic institution supporting the market was the *First Bank of the United States* (chartered 1791, capital \$10 million, charter expiring 1811). The First Bank was the government’s fiscal agent—holder of Treasury balances, transfer agent, and a large and steady holder and lender against federal stock—rather than an “underwriter” in the later syndicate sense (Hammond, 1957; Sylla, 2011). Domestic financiers such as William Bingham of Philadelphia dealt heavily in the new stock, but the marginal buyer who set the price was increasingly European.

4.2 The European high-water mark, 1803

The share of the federal debt held abroad rose steeply through the 1790s and peaked in 1803. According to the reconciliation of Sylla et al. (2006), built from Blodget’s 1806 estimates and Bayley’s Treasury figures, foreigners held about \$43.4 million of the \$81.4 million federal debt in 1803—roughly **53 percent** (Mira Wilkins’s headline figure is **56 percent**) (Wilkins, 1989; Blodget, 1806). The composition had shifted from Dutch to British predominance, with the House of Baring now prominent. Two facts dramatize the dependence on European capital in this year: foreigners held about 62 percent of the stock of the (first) Bank of the United States, and the \$11.25 million “Louisiana sixes” issued to pay France for the Louisiana Purchase were, at issue, taken up essentially *entirely* abroad—the Barings and Hope & Co. of Amsterdam underwrote the Louisiana stock and placed it in Europe (Sylla et al., 2006). The United States had, in effect, borrowed in Europe to buy a continent from a European power.

5 War, a Second Bank, and the Extinction of the Debt, 1812–1836

5.1 The war loans of 1812–1815 and the Girard–Astor–Parish syndicate

The War of 1812 was financed, badly, by loans that the Treasury struggled to sell as the war went against it and New England capital abstained. The pivotal episode—and the first true *private underwriting syndicate* in U.S. history—was the \$16 million loan of 1813 (authorized by the act of 8 February 1813). Public subscription reached only about \$6 million, leaving the bulk to three financiers: *Stephen Girard* of Philadelphia, *John Jacob Astor* of New York, and *David Parish*. Girard and Parish took \$7,055,800 on joint account and Astor and his

associates about \$2,056,000, at a price of 88—a 12 percent discount on the 6 percent stock, which, as Parish noted in his own correspondence, “yields an interest of $7\frac{1}{2}$ pct” (Porter, 1931; Adams, 1978; Dewey, 1903). The bet paid off quickly: the stock soon traded at a premium of five or six points, “promising a handsome profit” on top of the coupon. Girard’s own bank (successor to the First Bank’s Philadelphia premises) and Astor’s mercantile fortune were the balance-sheet capacity behind the deal, which kept the government solvent at its lowest ebb.

5.2 The Second Bank of the United States, 1816–1836

The Second Bank of the United States (chartered 1816, capital \$35 million) restored a national fiscal agent. Like the First Bank, it served principally as the depository of federal funds, the transfer and interest-paying agent for the public debt, and a stabilizer of the market for government stock rather than as a syndicate underwriter (Catterall, 1903). Its era, however, was also the era of *debt extinction*: under sustained surpluses the national debt was paid down to essentially zero by 1835—the only time in American history the federal debt has been extinguished (Lane, 2014). With no debt to market and, after 1836, no national bank, the institutional apparatus of federal borrowing had to be rebuilt from private materials when deficits returned. By 1818 the foreign-held share of the (now small) federal debt had fallen to about 26 percent (Wilkins, 1989).

6 The Private Wholesalers of the Antebellum Treasury, 1836–1861

6.1 Selling loans without a national bank

With the Second Bank gone and the Independent Treasury not yet permanent, the government financed the recurrent deficits of 1837–1843 (expenditure exceeded revenue by \$31.3 million over the four years to 1841) by two expedients: rolling over short-term *Treasury notes*, and selling *funded loans* by public advertisement and invited competitive proposals—no single wholesaler yet dominated. The loan of 1841 (\$12 million authorized at ≤ 6 percent, no stock below par) “does not appear to have met with much favor,” and only \$5,672,077 could be placed (Bayley, 1882, 363). Only after the act of 1842 permitted sale *below* par did the market clear: \$8,343,886 of stock was sold for \$8,301,468 in cash, a shade under par (Bayley, 1882, 363–364). It was in exactly this environment that W.W. Corcoran got his start, taking a \$5 million loan from Secretary Forward.

6.2 Corcoran & Riggs and the Mexican War loans

The Mexican War of 1846–1848 made *Corcoran & Riggs* of Washington (W.W. Corcoran and George Washington Riggs) the pre-eminent wholesaler of the federal debt. Of the loan of 1847 (act of 28 January 1847; \$28.2 million of 6 percent stock ultimately issued, most sold at a small premium (Bayley, 1882)), Corcoran, singly or in association, cornered about \$14.7 million of the roughly \$16.5 million public offering—80 to 90 percent—and the firm “earned

more than \$250,000” on it (Cohen, 1971, 45–49). Of the loan of 1848 (act of 31 March 1848; \$16 million at 6 percent) the firm again took about \$14 million (Cohen, 1971, 49–51). Philip Hone marveled that Corcoran & Riggs had “made a princely fortune by taking the whole of the last government six per cent loan.”

Two corrections to the conventional telling matter for the book. First, the 1847 loan was sold *almost entirely in the United States*, not abroad. Only when the domestic market sagged in the slump of 1848 did Corcoran carry the 1848 loan to Europe—and only after Secretary Walker advanced him \$5 million of Treasury funds to support the price and formally made him a government agent (Cohen, 1971, 54–55). Second, the London placement was *not* chiefly through Baring: Baring Brothers, George Peabody & Co., and the Morgans initially told Corcoran the bonds could not be sold abroad and tried to dissuade him. He went anyway, and the London tranche—“more than \$3 million,” roughly a fifth of the \$16 million loan, plus some placed in Paris—was syndicated across *six* houses: Baring Brothers, George Peabody & Co., Overend, Gurney & Co., Denison & Co., Samuel Jones Loyd, and James Morrison (Cohen, 1971, 54–58). The London sale itself was essentially break-even once exchange was reckoned; the real profit came at *home*, where the news that the bonds had been placed in London restored confidence and let Corcoran sell his remaining stock at a premium (Goldstein, 1998). Only afterward did Baring become a cooperative partner—“the demand for United States stock runs away with all we have or wish to sell,” it wrote him in 1849 (Cohen, 1971, 57).

6.3 The London and Frankfurt houses

Behind the antebellum Treasury stood the great transatlantic houses. *Baring Brothers* had been London agent for both Banks of the United States and, after a brief interval in which the government account passed to Rothschild, had it restored in 1843; Baring remained the pre-eminent European agent for American government and state securities down to the Civil War (Hidy, 1949). Its rival, N.M. Rothschild & Sons, was represented in New York by *August Belmont*, who—stranded in New York by the Panic of 1837, the Rothschilds’ prior agent having failed—founded August Belmont & Co. at 78 Wall Street and became their permanent American agent (Ferguson, 1999; Black, 1981; Sexton, 2005). The antebellum pattern was thus a domestic wholesaler (Corcoran & Riggs) buying whole loans, with the London houses a secondary outlet resorted to only when the home market could not absorb the paper.

7 Jay Cooke and the Financing of the Civil War, 1861–1865

7.1 The National Loan and Jay Cooke’s retail machine

The Civil War’s borrowing needs dwarfed anything before. After the early “National Loan” and the resort to legal-tender greenbacks, Treasury Secretary Salmon P. Chase turned to *Jay Cooke & Co.* of Philadelphia as special agent. Cooke’s innovation was *mass retail distribution*: through a network of roughly 2,500 sub-agents, a saturation newspaper-advertising

campaign, and an appeal to patriotism, he sold government bonds directly to hundreds of thousands of ordinary citizens (Larson, 1936; Oberholtzer, 1907). Cooke marketed the “five-twenty” bonds authorized by the Act of 25 February 1862 (bonds redeemable in 5 and payable in 20 years, bearing 6 percent), selling the authorized \$500 million plus about \$11 million more; then, in 1865, he distributed roughly \$830 million of “seven-thirty” Treasury notes in three series to carry the Union through the war’s final months (Larson, 1936, 128–173).

7.2 How much went abroad?

Unlike the antebellum loans, the Civil War debt was placed overwhelmingly at *home*: European investors, wary of Union prospects and of the greenback, took little of the debt at issue. Some five-twenties later migrated to Europe, especially to Germany and the Netherlands, as Northern victory became likely and as the bonds’ gold-interest feature attracted foreign buyers, but the wartime distribution was a domestic achievement—Cooke had, in effect, sold the war to the American middle class (Sexton, 2005; Hammond, 1970). The large-scale migration of the debt to Europe came only *after* the war: by the early 1870s foreign investors held perhaps a third of the outstanding bonds—Cooke’s own 1871 circular claimed some \$600 million of five-twenties were held abroad—a peak from which, as the next section shows, European holdings then *receded* through the refunding decade.

8 From Cooke to Morgan: The Refunding Syndicates, 1865–1879

8.1 The Funding Acts and the breaking of Cooke’s privilege

The Funding Act of 14 July 1870, as amended 20 January 1871, authorized the conversion of the high-interest war debt into new coin bonds in three classes: \$500 million at 5 percent (redeemable after ten years), \$300 million at $4\frac{1}{2}$ percent (after fifteen), and \$1,000 million at 4 percent (after thirty), the aggregate capped at \$1.5 billion (Supreme Court of the United States, 1885, 477–478).¹ Jay Cooke & Co. were the Treasury’s agents for the first \$200 million of 5 percent bonds in 1871 (Larson, 1936, 315–330). Cooke’s circular of August 1871 announced that of the remaining \$130 million, \$80 million was “reserved for the Foreign market” (with \$20 million said to be subscribed in London) and \$50 million for domestic national banks—but these were *allotment and promotional* figures, not results. The Franco-Prussian War had drained European funds, and the realized foreign uptake was far smaller (contemporary accounts suggest only some \$15–25 million), the bulk being taken at home (Dewey, 1903). The disappointing foreign result is precisely why the Treasury next forced Cooke into a European syndicate. In the \$300 million 5 percent funded loan of 1873—whose London prospectus of 31 January 1873 issued from Rothschild’s New Court and named Baring Brothers, Jay Cooke, McCulloch & Co., J. S. Morgan & Co., Morton, Rose & Co., and N. M. Rothschild & Sons as receiving houses—the Treasury *forced Cooke to share* the

¹The original act of July 1870 set the 5 percent class at \$200 million; the January 1871 amendment raised it to \$500 million without increasing the aggregate.

flotation, ending his privileged position even before his firm fell (Chernow, 1990, 36). That flotation largely failed: the post-war European glut and then the Panic of 1873 meant little of the \$300 million was placed, and no bonds were sold below 5 percent until 1877 (Dewey, 1903, 356).² On 18 September 1873, overcommitted to the Northern Pacific Railroad, Jay Cooke & Co. suspended and declared bankruptcy, touching off the Panic of 1873 and the ensuing “Long Depression” (Larson, 1936, 409–416).

8.2 Drexel, Morgan & Co. and the syndicates of 1877 and 1879

Cooke’s fall opened the field to *Drexel, Morgan & Co.*, formed 1 July 1871 by the union of Anthony J. Drexel of Philadelphia and the younger J. Pierpont Morgan, and backed in London by Morgan’s father’s house, *J. S. Morgan & Co.* (successor to George Peabody & Co.) (Carosso, 1970, 22–29). Its transatlantic reach made it the indispensable American member of every subsequent refunding group, “usurp[ing] [Cooke’s] exalted place in government finance” (Chernow, 1990, 35–37). The refunding operations Drexel, Morgan and its allies carried through to 1879 ultimately retired or exchanged some \$1.4 billion of the debt (Carosso, 1987, 176–199). Under the Refunding Act, Secretary John Sherman’s syndicate had been selling $4\frac{1}{2}$ percent bonds under a contract of August 1876; on 9 June 1877 Sherman contracted with the same associates for 4 percent consols, and when subscriptions opened on 16 June 1877 they reached \$75,496,550 within thirty days, of which \$50 million was applied to redeem an equal amount of 6 percent bonds; some \$128.7 million more of the 4 percents were sold in 1878 (U.S. Department of the Treasury, 1877). The 1877 report names no firms—it speaks only of “the associated contractors”—but they were the standing syndicate documented in the parallel 1875 and 1879 contracts. That best-documented group is the syndicate of the refunding contract of 21 January 1879, whose members are recited verbatim in the Supreme Court’s opinion in *Morgan v. United States* (1885) (Supreme Court of the United States, 1885):

- *August Belmont & Co.*, New York, for N. M. Rothschild & Sons, London;
- *Drexel, Morgan & Co.*, New York, for J. S. Morgan & Co., London;
- *J. & W. Seligman & Co.*, New York, for Seligman Brothers, London;
- *Morton, Bliss & Co.*, New York, for Morton, Rose & Co., London.

Each New York house acted expressly “on behalf of” a London partner, and the Treasury even established a delivery agency in London—the syndicates were a genuinely transatlantic distribution machine. Yet it would be a mistake to infer that the refunding *placed* the American debt in Europe. On the contrary, the documentary record shows Europe was, on net, a *seller*: foreign holdings of the federal debt fell from roughly \$500–600 million in the early 1870s to *under \$200 million* by early 1879 (Garfield, in his specie-resumption address of January 1879, put the figure at “less than two hundred millions”). The 4 percent refundings of 1877–1879 were absorbed overwhelmingly by domestic “popular” subscription, and much of the gold that financed resumption came from Europe *returning* American bonds. The

²On the failed 1873 syndication see Larson (1936, 394–402).

London syndicates were the indispensable *mechanism* and took meaningful blocks, but the *stock* of United States debt held abroad shrank over the decade (Supreme Court of the United States, 1885; Dewey, 1903). The allied domestic commercial banks—above all the First National Bank of New York under George F. Baker—supplied mobile funds, though the tight “money-trust” alliance later caricatured by the Pujo Committee belongs to the 1880s–1900s rather than the 1870s.

9 The Gold Crises and the End of the Syndicate Era, 1879–1900

The resumption of specie payments (1879) and the silver agitation of the 1890s made the *Treasury’s gold reserve*, not fresh war borrowing, the occasion for the era’s most famous underwriting. In the crisis of 1895, with the gold reserve draining toward exhaustion, the government contracted (8 February 1895) with a syndicate led by *J. P. Morgan* and *August Belmont* (again for the Rothschilds) to buy \$62,315,400 of 30-year 4 percent coin bonds; in return the syndicate delivered gold worth about \$65 million—roughly 3.5 million ounces—undertaking that at least half would be drawn from *Europe* so as to replenish rather than merely recirculate the domestic stock, and pledging to protect the Treasury against further withdrawals for six months (Cleveland, 1895; Ferguson, 1999). The issue was split evenly between the American and European groups, each taking half—\$31,157,750 apiece (Carosso, 1987, 339). Because 4 percent bonds were sold at a premium for gold, President Cleveland reckoned the effective rate at only $3\frac{3}{4}$ percent. The deal was politically explosive—a Populist symbol of Wall Street’s grip on the Treasury—and its profit to the syndicate, which Morgan pointedly declined to disclose to the Senate, remains disputed to this day (Noyes, 1909, 234). On the operating detail see Carosso (1987, 319–340) and Chernow (1990, 73–78). Partly in reaction, when the Treasury needed money again in 1896 it sold \$100 million of the same 4 percent bonds by *open public bidding* rather than secret contract (though a Morgan syndicate still bid and won a large block) (Noyes, 1909, 256). And the Spanish-American War of 1898 was financed by a deliberately *popular* loan—\$200 million of 3 percent “ten-twenty” bonds (dated 1 August 1898), sold in denominations as low as \$20 with preference to small subscribers. It drew 320,226 subscriptions totaling more than \$1.5 billion—about seven-and-a-half times the amount offered—foreshadowing the mass finance of 1917 (Noyes, 1909; Dewey, 1903). Across 1865–1914, as the debt shrank and American capital markets deepened, the European-held share of the federal debt trended downward, even as European investment poured into American *railroads* and *state* securities.

10 The Great Reversal: World War I and the Liberty Loans, 1914–1919

10.1 Morgan as the Allies’ banker

The First World War inverted the century-old relationship. Designated Britain’s sole purchasing agent in the United States in January 1915, *J. P. Morgan & Co.* served as the sole

purchasing and fiscal agent for both Britain and France, buying war supplies on their account (Chernow, 1990, 187–192) and, in October 1915, organizing the *Anglo-French Loan*—\$500 million of five-year 5 percent bonds, issued at 98 and marketed to *American* investors through a syndicate of 61 underwriters and some 1,570 financial institutions (Chernow, 1990, 198–202). The loan was fully underwritten but poorly absorbed by a public in which German- and Irish-American sentiment ran against the Allies; the bonds soon traded below par (Burk, 1985). Still, the symbolism was decisive: for the first time a great European war was being financed in New York rather than the other way round. Across the war the United States swung from a net international debtor of roughly \$2.2 billion in 1914 to a net creditor of about \$6.4 billion by 1919—and that figure excludes some \$10 billion of inter-Allied *government* war loans, which made the country the world’s paramount creditor.

10.2 The Liberty Loans: the government sells directly to the citizenry

Once the United States entered the war, Treasury Secretary William G. McAdoo rejected the syndicate model entirely. The four *Liberty Loans* of 1917–1918 and the *Victory Loan* of 1919 (Table 2) were sold *directly to the public*, with the newly created *Federal Reserve Banks* acting as the Treasury’s fiscal agents—each Reserve Bank a central agency in its district for organizing the drive, receiving subscriptions, and delivering bonds—together with vast volunteer “Liberty Loan committees,” banks, employers, and a propaganda apparatus of posters, rallies, and celebrity drives. The subscriber base swelled from 4 million on the First Loan to nearly 23 million on the Fourth. The five drives, every one oversubscribed, together had about \$21.4 billion accepted (Gilbert, 1970; Kang and Rockoff, 2015; McAdoo, 1931; Federal Reserve History, 2013). The private underwriter, central to federal borrowing since the Revolution, had been displaced by the Federal Reserve and the mass market. The debt was held overwhelmingly at home; the era of European “wholesaling” of the United States government’s bonds was over.

Table 2: The Liberty Loans and the Victory Loan, 1917–1919 (dollar amounts in billions)

Loan	Dated	Coupon	Offered	Accepted	Subscribers
First Liberty	June 15, 1917	3.50%	\$2.00	\$2.00	4.0 M
Second Liberty	Nov. 15, 1917	4.00%	\$3.00	\$3.81	9.4 M
Third Liberty	May 9, 1918	4.25%	\$3.00	\$4.18	18.4 M
Fourth Liberty	Oct. 24, 1918	4.25%	\$6.00	\$6.96	22.8 M
Victory (Fifth)	May 1919	4.75%/3.75%	\$4.50	\$4.50	11.8 M
Total				\$21.4	

Source: Kang and Rockoff (2015), Table 1. “Accepted” is the amount the Treasury allotted; every loan was oversubscribed. The Victory notes were issued in two series, a $4\frac{3}{4}$ percent tax-exempt and a $3\frac{3}{4}$ percent taxable.

11 Peacetime Debt Management and the WWII Coda, 1919–1945

Through the 1920s the Treasury managed and refunded its large war debt through regular offerings sold via the Federal Reserve Banks and a growing market of *government-securities dealers* and commercial banks—routine, competitive distribution rather than privileged underwriting (Studenski and Krooss, 1963; Myers, 1970). Foreign holdings of the federal debt were by now negligible; the United States was the world’s leading creditor. The Second World War repeated and enlarged the WWI template: a continuous *War Finance* program (1941–1945) sold \$185.7 billion of securities, of which the retail *Series E* “war bonds” sold to individuals totaled \$33.7 billion (all savings bonds, about \$54 billion), purchased by some 85 million Americans, with the Federal Reserve Banks again acting as fiscal agents and the debt absorbed essentially entirely at home (U.S. Department of the Treasury, 1946; U.S. Department of the Treasury, Savings Bonds Division, 1984; Bickley, 2010).

12 Synthesis: The Marketers and the European Share

Table 3 summarizes the chief marketers of federal debt by regime; Table 4 collects the estimated European-held fraction of the federal debt at benchmark dates. Two long movements stand out. First, the *intermediary* evolved from foreign sovereigns and bankers, to a national bank as fiscal agent, to domestic private wholesalers, to transatlantic investment-banking syndicates, and finally to the Federal Reserve selling directly to the citizenry. Second, the *European share* did not move in one direction but oscillated: rising from perhaps a fifth in 1789 to a peak of 53–56 percent in 1803, receding as the debt was paid off before 1836, reviving to about a third when Civil War five-twenties migrated abroad in the late 1860s, then *receding again* through the 1870s (when, contrary to a common impression, Europe was a net seller and the refunding syndicates were a distribution channel rather than a net absorber), before collapsing toward zero after 1917 as the United States turned from the world’s largest sovereign debtor into its largest creditor.

Caveats for the book. The benchmark foreign-share figures rest on Blodget’s (1806) and Bayley’s Treasury estimates as reconciled by Sylla et al. (2006) and Wilkins (1989); the 1803 figure is best stated as a 53–56 percent range because the underlying totals differ. No clean benchmark exists for c.1795 or c.1815—the record has gaps around those years, and any single number there is interpolation. Page references to the Carosso, Chernow, and Larson monographs have been verified against the first-edition pagination via Google Books’ search-within-volume index (see the notes in the .bib); the Ferguson and Catterall page references still warrant a physical-volume check. Two cautions: the “\$150,000 underwriters’ fee” often attached to the 1873 Cooke syndicate does *not* appear in Chernow, Carosso, or Larson and should not be printed without an identified source; and the exact van Winter loan-by-loan Dutch figures (Table 1 follows Bayley) could not be read directly and are corroborated only in aggregate. The syndicate rosters, loan schedules, and dollar figures in the text were otherwise, where marked, checked against the *Morgan v. United States* opinion, Bayley’s census monograph, and the Treasury Annual Reports.

Table 3: Chief marketers / wholesalers of U.S. federal debt, by regime

Era	Principal marketer(s) / underwriter(s)	Mechanism
1776–1790	State & Continental loan offices; Robert Morris & Bank of North America; France; Amsterdam consortium (Willink, Van Staphorst, De la Lande & Fynje); Haym Salomon (broker)	Loan-office certificates; foreign sovereign loans; Dutch bond flotations
1790–1811	First Bank of the United States (fiscal agent); Dutch & British investors; Baring & Hope (Louisiana stock)	National bank as agent; European placement
1812–1836	Girard, Astor & Parish (1813 syndicate); Second Bank of the U.S. (fiscal agent)	First private war-loan syndicate; national-bank agency
1836–1861	Corcoran & Riggs (wholesaler); London houses—Baring, Peabody, Overend Gurney, and others—as a secondary outlet; August Belmont (Rothschild agent)	Wholesale purchase, chiefly domestic; London resorted to only when the home market sagged
1861–1865	Jay Cooke & Co.	Mass retail to U.S. citizens via sub-agents
1865–1879	Jay Cooke (to 1873); then Drexel, Morgan & Co. / J.S. Morgan; Belmont/Rothschild; Seligman; Morton	Refunding syndicates, London-backed
1879–1900	J.P. Morgan–Belmont syndicate (1895 gold rescue); direct public sale (1896, 1898)	Syndicate; then popular subscription
1917–1919	Federal Reserve Banks & Liberty Loan committees (direct); J.P. Morgan (agent for the Allies)	Mass public subscription; U.S. as creditor
1919–1945	Federal Reserve Banks; securities dealers; direct public (war bonds)	Competitive distribution; retail savings bonds

Table 4: Estimated foreign (mainly European) share of the U.S. federal debt

Year	Foreign share	Notes and source
1789	$\approx 22\text{--}29\%$	Foreign-currency loans (France, Dutch) $\approx \$11.7\text{M}$ of $\approx \$54\text{M}$; higher figure adds domestic debt bought abroad (Wilkins, 1989; Bayley, 1882)
1803	$\approx 53\text{--}56\%$	Peak; $\$43.4\text{M}$ of $\$81.4\text{M}$ federal debt. Louisiana sixes taken up essentially entirely abroad (Sylla et al., 2006; Wilkins, 1989)
1818	$\approx 26\%$	After partial pay-down (Wilkins, 1989)
1835	0%	Federal debt extinguished (Lane, 2014)
1853	$\approx 46\%$	Debt held abroad after renewed borrowing (Wilkins, 1989)
1861–1865	small at issue	Civil War debt placed overwhelmingly at home; five-twenties migrated to Europe only after ~ 1863 (Sexton, 2005)
~ 1870	$\approx \frac{1}{3}$	Postwar peak: $\sim \$500\text{--}600\text{M}$ of $\sim \$1.6\text{--}1.8\text{B}$ held abroad (Supreme Court of the United States, 1885; Dewey, 1903)
1879	$< \$200\text{M}$	Europe a <i>net seller</i> through the refunding decade; foreign stock <i>fell</i> even as London syndicates distributed the bonds (Dewey, 1903)
1895	(gold, not debt)	$\geq$ half the $\$62.3\text{M}$ bond deal’s $\sim \$65\text{M}$ of gold drawn from Europe (Cleveland, 1895; Chernow, 1990)
1917–	$\rightarrow 0$	U.S. becomes net creditor; debt held domestically (Gilbert, 1970)

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